

Strong numbers !!!

Can Fin Homes delivered good numbers with strong growth in AUMs, disbursements with stable asset quality. PAT came in at INR 162.2 cr vs. our estimate of INR 120 cr, outperformance is largely driven by total provision write-back of INR 3.7 cr vs. expectation of INR 40 cr. There was write-back of standard asset provisioning amounting to INR 11.7 cr vs. 20.5 cr in Q4FY22. Can Fin conducted internal audit alongwith the external auditors across all the branches which found irregularities or fraud amounting to INR 2.4 cr, which was addition to the last quarter number of INR 3.9 cr. These assets have been recognized as an NPA, although the some of the assets are performing currently.

The NBFC will have to deliver sound numbers without any hiccups on frauds for next couple of quarters to restore confidence of investors. This will be headwind for the stock in the near term. However, from long term perspective, outlook on the stock looks positive given the strong visibility of the asset growth and benign asset quality. Retain BUY with TP of 770 (at our target multiple of 2.4x FY24e ABV).

- **Outstanding AUM growth** – New approvals registered strong growth of 111% yoy for the Q1 (while disbursements growth was also high at 92.7% yoy). Going forward, this would translate into higher loan growth. O/S loans grew at 24% yoy to INR 275.4 bn. Housing loans, which form 90% of the total loans, reported growth of 22.5% yoy (in this salaried home loans grew by 24% and non-salaried 18%). Also, the company is expecting to raise equity capital in the current fiscal to the tune of INR 10 bn to fund asset growth.
- **Internal audit found INR irregularities amounting to 2.4 cr** - Can Fin conducted internal audit along with the external auditors across all the branches which found that irregularities or fraud of INR 2.4 cr, which is in addition to the last quarter INR 3.9 cr. These assets have been recognized as an NPA, although the some of the assets are performing currently.

Financial Summary

(Rs.bn)	FY21	FY22	FY23e	FY24e
NII (Rs)	8.0	8.2	10.8	14.0
PAT (Rs)	4.6	4.7	6.4	8.4
EPS	34	35	48	63
ROE (%)	19.2	16.6	19.0	20.7
ROA (%)	2.1	1.9	2.1	2.3
P/E	15.6	15.1	11.1	8.5
P/BV	2.7	2.3	1.9	1.6
P/ABV	2.9	2.4	2.0	1.7

Source: Company, Dalal & Broacha Research

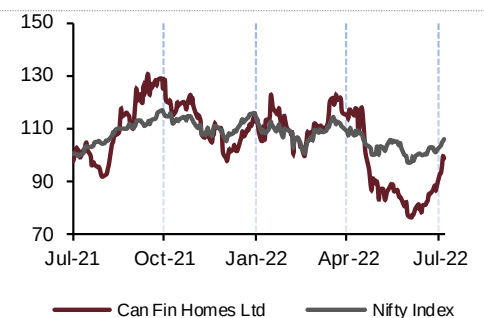
Rating	TP (Rs)	Up/Dn (%)
BUY	770	43

Market data

Current price	Rs	538
Market Cap (Rs.Bn)	(Rs Bn)	72
Market Cap (US\$ Mn)	(US\$ Mn)	895
Face Value	Rs	2
52 Weeks High/Low	Rs	722 / 406.65
Average Daily Volume	('000)	950
BSE Code		511196
Bloomberg		CANF.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	29.99	29.99
Public	70.01	70.01
Total	100	100

Source: Bloomberg

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- **Spreads improved** - On qoq basis, yields jumped from 8.1% to 8.46% while cost of funds surged from 5.56% to 5.8%. Overall, spreads improved by 11 bps to 2.66% implying the company has passed on increased costs to its borrowers. Going forward, the company expects full year margins to be at 3.5% levels vs. 3.6% for FY22
- **Asset quality performance was also good** - Gross NPAs were stable on sequential basis, at 0.65% levels and net NPAs at 0.3% while PCR is at 54%. Management expects stable asset quality outlook going forward as well.

Valuations

The NBFC will have to deliver sound numbers without any hiccups on frauds for next couple of quarters to restore confidence of investors. This will be headwind for the stock in the near term. However, from long term perspective, outlook on the stock looks positive given the strong visibility of the asset growth and benign asset quality. Retain BUY with TP of 770 (at our target multiple of 2.4x FY24e ABV).

Quarterly Financials

P&L (Rs cr)	Q4FY 21	Q1FY 22	Q2FY 22	Q3FY 22	Q4FY 22	Q1FY 23	YoY	QoQ
Interest Earned	460.6	449.2	462.6	502.0	555.8	606.5	35.0	9.1
Interest Expended	274.8	268.0	270.8	296.1	318.5	356.1	32.9	11.8
NII	185.8	181.2	191.8	205.9	237.3	250.4	38.2	5.5
Other Income	6.8	1.6	5.3	6.4	5.5	5.1	209.0	-7.0
Net Income	192.5	182.8	197.1	212.4	242.8	255.5	39.8	5.2
Opex	42.8	30.3	34.2	40.3	48.2	40.5	33.8	-16.0
PPOP	149.7	152.6	162.8	172.0	194.6	215.0	40.9	10.5
Provisions	7.7	6.5	-6.2	16.4	30.2	-3.7	-156.4	-112.2
PBT	142.0	146.0	169.0	155.7	164.3	218.7	49.8	33.1
Tax	39.4	37.2	45.4	40.0	41.4	56.5	52.0	36.4
PAT	102.6	108.8	123.6	115.7	122.9	162.2	49.0	32.0
Balance sheet (Rs Bn)								
	Q4FY 21	Q1FY 22	Q2FY 22	Q3FY 22	Q4FY 22	Q1FY 23	YoY	QoQ
New Approvals	2260	829	2288	2762	3018	1751	111.2	-42.0
Disbursements	2001	894	2208	2472	2705	1722	92.6	-36.3
Outstanding loan book	22105	22221	23584	25091	26711	27538	23.9	3.1
Key Ratios (%)								
	Q4FY 21	Q1FY 22	Q2FY 22	Q3FY 22	Q4FY 22	Q1FY 23	YoY	QoQ
Gross NPAs (Rs)	202	200	185	177	171	180	-10.1	5.4
Net NPAs (Rs)	134	126	110	97	81	82	-35.2	1.5
GNPA (%)	0.9	0.9	0.8	0.7	0.6	0.7	-0.2	0.0
NNPA (%)	0.6	0.6	0.5	0.4	0.3	0.3	-0.3	0.0
PCR (%)	33.5	36.8	40.4	45.2	52.7	54.4	17.7	1.7
C/I Ratio (%)	22.3	16.5	17.4	19.0	19.8	15.8	-0.7	-4.0
ROA (%) (Reported)	2.2	2.0	2.1	2.0	2.0	2.4	0.4	0.4
ROE (%) (Reported)	17.5	16.0	16.4	15.8	16.0	20.0	4.1	4.0
EPS (Rs)	34.3	8.2	17.5	8.7	9.2	12.2	-	-
NIM (%) (Reported)	3.9	3.3	3.4	3.7	4.2	3.6	0.3	-0.6
Yield (%) (Reported)	9.5	8.1	8.0	8.1	8.1	8.5	0.4	0.4
Cost (%) (Reported)	6.7	5.7	5.6	5.6	5.6	5.8	0.1	0.2
Spread (%) (Reported)	2.8	2.4	2.4	2.5	2.6	2.7	0.3	0.1
Avg. Business Per Branch	112.8	113.4	120.3	127.9	136.1	146.5	-	-
Avg. Business per Employee	26.1	25.9	26.8	27.6	30.0	30.8	-	-
Cost Income Ratio (%)	22.3	16.5	17.4	19.0	19.8	15.8	-	-

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY21	FY22	FY23e	FY24e	Ratios	FY21	FY22	FY23e	FY24e
Interest income	20.06	19.70	26.35	33.37	Growth (%)				
Interest expense	12.08	11.54	15.55	19.35	NII	22	2	32	30
NII	7.98	8.16	10.81	14.02	PPOP	18	-1	37	33
Non-interest income	0.12	0.19	0.31	0.49	PAT	21	3	36	31
Net revenues	8.10	8.35	11.12	14.51	Advances	7	20	22	23
Operating expenses	1.24	1.53	1.76	2.03	Spread (%)				
PPOP	6.86	6.82	9.36	12.48	Yield on Funds	9.4	8.0	8.7	9.1
Provisions	0.69	0.47	0.78	1.26	Cost of Funds	6.4	5.2	5.7	6.0
PBT	6.18	6.35	8.57	11.22	Spread	3.1	2.7	3.0	3.1
Tax	1.62	1.64	2.16	2.83	NIM	3.7	3.3	3.5	3.9
PAT	4.56	4.71	6.41	8.39	Asset quality (%)				
Balance sheet	FY21	FY22	FY23e	FY24e	Gross NPAs	0.9	0.6	0.6	0.7
Share capital	0.3	0.3	0.3	0.3	Net NPAs	0.6	0.3	0.3	0.4
Reserves & surplus	25.8	30.4	36.4	44.3	Provisions	34	53	50	48
Net worth	26.1	30.7	36.7	44.6	Return ratios (%)				
Borrowings	192.9	248.3	295.1	347.6	RoE	19.2	16.6	19.0	20.7
Other liability	1.7	0.5	0.5	0.5	RoA	2.1	1.9	2.1	2.3
Total liabilities	220.7	279.4	332.3	392.7	Per share (Rs)				
Fixed assets	0.5	0.5	0.5	0.5	EPS	34	35	48	63
Investments	0.5	11.3	6.7	3.9	BV	196	230	275	335
Loans	218.9	263.8	322.6	397.2	ABV	186	224	268	324
Cash	0.2	3.2	1.7	-9.7	Valuation (x)				
Other assets	0.7	0.7	0.7	0.8	P/E	16	15	11	8
Total assets	220.7	279.4	332.3	392.7	P/BV	2.7	2.3	1.9	1.6
					P/ABV	2.9	2.4	2.0	1.7

Source: Company, Dalal & Broach Research

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